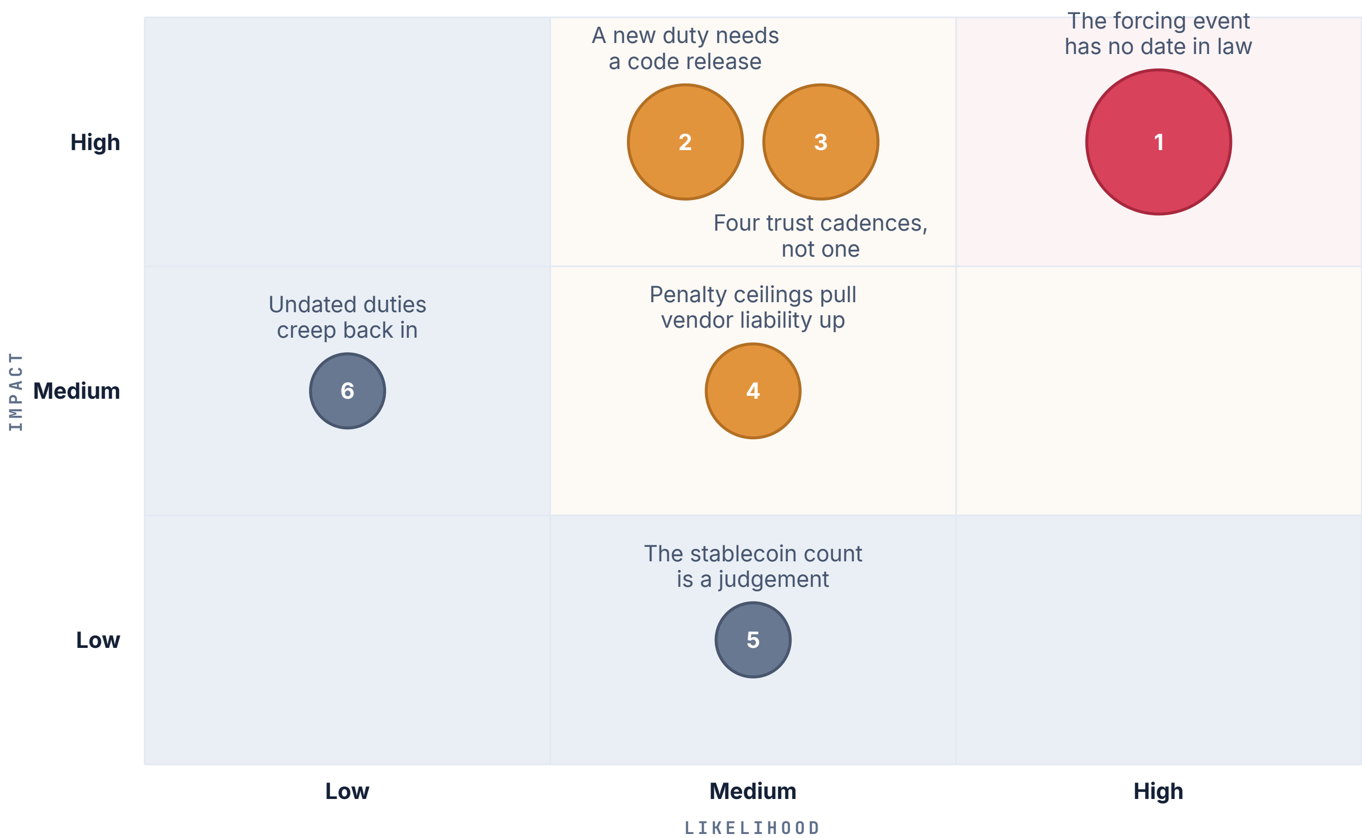
DOMAIN 01 · SIX SCENARIOS · RE-RUN QUARTERLY, AND ON ANY CHANGE TO A PUBLISHED RULE

Regulatory and Policy Risk

Does the regulatory clock this company is built on hold long enough to build on it, and is the clock the one the plan says it is?

Everything above the platform layer is content, a setting or a list of fields, and every population the plan sells into is counted from a published register. Both of those are bets on regulation behaving like regulation: arriving with a date, changing as writing rather than as code, and staying still long enough to build a company against. **Two claims were removed from the plan in the 17 August rebuild because they could not be sourced, and both were regulatory.** This matrix tests what is left, scenario by scenario.



Bubble size is the risk score, likelihood 1 to 3 multiplied by impact 1 to 3. The number inside is the scenario row in the table overleaf.

High 7 to 9 · Medium 4 to 6 · Low 1 to 3

SOURCES ON THIS PAGE

SOR/2023-229	Retail Payment Activities Regulations. Section 15, the ledger of each end user's funds at the end of each day. Section 17, the independent review at least once every three years. Section 18, the annual report. Justice Laws Canada	PRIMARY
Withdrawn claims	4orm Finance Vision, 17 August 2026, section 12, the two regulatory claims removed because they cannot be sourced.	MODEL
Scoring	Likelihood and impact are management judgements on a 1 to 3 scale. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full	MODEL

The six scenarios, scored

#	Scenario and trigger	L	I	Score	Early warning signal
1	**The forcing event has no date in law** Section 17 requires a review at least once every three years and names no first date and no period the review must cover, so the urgency the commercial argument runs on is arithmetic rather than a deadline	3	3	9	A buyer's counsel reads section 17 and answers that nothing is due on a stated date
2	**A new duty needs a code release rather than a piece of writing** Fourteen duties, four rule makers, three shapes. If adding one needs a builder, a ticket and a code review, the second rule maker costs a second build	2	3	6	Any duty estimate that reads as schema or code work rather than as content the rules lead can write and sign
3	**Four trust cadences inside one province, and more outside it** The $585,000 of second regulator content buys four rule sets with four filing clocks, four signers and four retention rules, and none of them is the payments clock	2	3	6	A second province or a second rule maker lands as a new field or a new workflow state rather than as a new entry in the rule store
4	**Penalty ceilings pull vendor liability expectations up with them** Ceilings at $1M and $10M under the payments regulations, $4M and $20M under the amended money laundering framework with a cumulative cap at 3 per cent of gross global revenue, and a record enforcement year behind them	2	2	4	A procurement review asks for errors and omissions cover or a liability cap that the standard agreement does not carry
5	**The stablecoin count is a judgement and the tier priced on it is the dearest** Twenty Canadian dollar stablecoin issuers is a management estimate against no published list, inside a command tier of 65 entities with none of its three rows primary sourced and priced at $687,000	2	1	2	The public register the amended money laundering framework provides for is published and the count is not twenty
6	**Undated duties creep back into the plan as revenue** Universal enrolment with the financial intelligence unit has no effective date, and consumer driven banking is held out of the register entirely at 578 entities and zero revenue	1	2	2	Any population with no register of approved firms acquires a price, a customer count or a line in the market total

Legend. Likelihood and impact each run 1 to 3 and the score is their product. The early warning signal is the thing that can be observed before the scenario arrives, so it is the line worth putting on a board agenda rather than the scenario itself.

SOURCES ON THIS PAGE

Rule store and duty set	4orm Finance Technical Architecture 03.2, 17 August 2026, the fourteen duties, four rule makers and three shapes, and the worked example of the second rule maker written entirely as content.	MODEL
Second regulator content	$585,000 across four rule sets: Alberta property management, Ontario brokerages, Ontario mortgage administrators and law society trust rules. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, development expense tab.	MODEL

1 The forcing event has no date in law

SCORE 9 · L3 × I3

CASE STUDY · MAKING TAX DIGITAL, BOTH HALVES OF IT

The United Kingdom ran the same experiment twice and got opposite answers. Where the date held, demand arrived at it and nowhere else: about 4 per cent of the mandated base had signed up immediately before value added tax filing went live on 1 April 2019, with roughly a million businesses still not registered, and sign ups reached more than 83 per cent within eleven months (HM Revenue and Customs; Which?). Where the date moved, the market moved with it: Making Tax Digital for Income Tax was delayed five times over eight years and narrowed materially in scope, and suppliers who had built and staffed against the original date wrote the investment off (ICAEW; AccountingWEB). A dated duty is a market. An undated one is a waiting room.

> RESPONSE FOR 4ORM
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> The daily ledger is the dated duty and it is the one to sell. Section 15 has applied since 8 September 2025, it repeats every day a firm holds end user funds, and a reader can check it in one click. Section 18 puts the annual report on 31 March every year, permanently. Neither needs a review to be due. **Section 17 names no first date and imposes no period a review must cover, so 8 September 2028 is arithmetic from the day the duty commenced and is offered as arithmetic, never as a deadline.** The line most exposed if buyers defer is evidence reconstruction, which carries $2,466,000 in 2028 and $11,515,297 across the plan on work a firm may choose to postpone. Throwing that switch moves the lowest month on the road from a shortfall of $778,960 to $670,623, so the line is material to the story and not to survival.

2 A new duty needs a code release rather than a piece of writing

SCORE 6 · L2 × I3

CASE STUDY · PAGERO AGAINST TUNGSTEN, AND BASWARE BESIDE THEM

Three firms carried the same electronic invoicing mandates across Europe and finished in three different places, and the difference was what each had built underneath. Pagero grew net sales from SEK 264.9M in 2018 to SEK 600.1M in 2022 on interoperable reach, and Thomson Reuters acquired it for roughly US$800M (Pagero annual report; International Accounting Bulletin). Tungsten served 74 per cent of the FTSE 100 and still saw revenue fall, selling for about GBP 70.6M (Tungsten; Canaccord Genuity). Basware grew 0.7 per cent compound over 2017 to 2021 against the same mandates (Basware). Mandate exposure is not architecture, and the market pays for the second.

> RESPONSE FOR 4ORM
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> The claim to defend is that the eleventh job is a setting. Fourteen duties, four rule makers, three shapes, and a duty added as a piece of writing with a signature on it rather than as a branch in code. **Run the test early and on a duty chosen because it is awkward, rather than waiting for a customer to run it.** Hand the fourteenth duty to the person who owns the rules with no engineer in the room, and watch whether it goes live without a builder, a ticket or a code review. Two figures ride on the answer: the second regulator line at $13,766,769 in 2031, and the $585,000 the plan sets aside to author four rule sets. If either needs engineering rather than authoring, both are wrong, and so is the gross margin that reaches 77.6 per cent on the strength of them.

SOURCES ON THIS PAGE

Sections 15, 17 and 18	The daily ledger, the triennial review with no named first date, and the 31 March annual report. Justice Laws Canada · reviewer independence	PRIMARY
Duty commencement	Safeguarding frameworks have applied to relevant payment service providers since 8 September 2025. Bank of Canada	PRIMARY
Making Tax Digital	HMRC evaluation of the value added tax service · Which?, one million unregistered · ICAEW on the income tax deferral · AccountingWEB on supplier withdrawal	PRIMARY / SECONDARY
Line C and the switch	4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, revenue lines tab, and the sensitivity table in 4orm Finance Vision, 17 August 2026 section 13.	MODEL

3 Four trust cadences inside one province, and more outside it

SCORE 6 · L2 × I3

CASE STUDY · AVALARA, AND WHAT ONE ENGINE ACROSS MANY JURISDICTIONS ACTUALLY COSTS

Avalara is the closest working example of rules held as content across thousands of divergent jurisdictions, and it shows both that the model works and what it takes. In the year after the United States Supreme Court decided South Dakota against Wayfair, Avalara reached roughly 24 per cent penetration of the newly obligated population and revenue growth stepped from 28 to 41 per cent (annual report). Core customers then rose from 9,150 to 12,150 to 14,890 across 2018 to 2020 (Securities and Exchange Commission). What carried it was integration count rather than rule count: 700 or more pre built integrations disclosed in 2018 became 1,400 or more under a partner led model. The content scaled. The connections had to be built one at a time.

> RESPONSE FOR 4ORM
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> Four rule sets are budgeted and no two of them share a clock. Ontario mortgage administrators keep trust accounts, written records and monthly reconciliations, and file audited returns within 90 days of fiscal year end. Ontario real estate brokerages keep trust accounts and their broker of record reviews the reconciliation monthly. Ontario lawyers prepare trust reconciliations and comparisons monthly, within 25 days of month end. Alberta property management is a fourth. **Gate the second rule maker on the line item accounting, not on the calendar.** If any of the four needs a new field, a new workflow state or a new binding rule beyond what the rule store expresses as writing, that is the signal, and it should force a decision before the Q3 2028 milestone rather than during it, because the seed is priced on that milestone. Avalara's other lesson is the one to budget for: the connector count, not the rule count, is where the money goes.

SOURCES ON THIS PAGE

The duty set and the test	4orm Finance Technical Architecture 03.2, 17 August 2026, a new duty is a piece of writing and not a piece of code, with the worked example of the monthly broker trust check.	MODEL
Pagero, Tungsten, Basware	Pagero annual report · Thomson Reuters acquisition · Tungsten investor presentation · Canaccord Genuity on the sale · Basware annual report 2021	SECONDARY
Line E and the content budget	$13,766,769 in 2031 and $585,000 across four rule sets. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, revenue lines and development expense tabs.	MODEL

SOURCES ON THIS PAGE

Three Ontario cadences	Mortgage administrators file audited returns within 90 days of fiscal year end (FSRA). Brokerages: the broker of record reviews monthly (RECO). Lawyers reconcile monthly within 25 days of month end (Law Society of Ontario).	PRIMARY
Avalara	Annual report, year one penetration and the revenue step · 10-K, core customer counts 2018 to 2020	PRIMARY

4 Penalty ceilings pull vendor liability expectations up with them

SCORE 4 · L2 × I2

CASE STUDY · THE CANADIAN ENFORCEMENT YEAR THAT CHANGED THE QUESTION

Canada moved from a policy environment to a visible one inside twelve months. The financial intelligence unit imposed CAD $203.1M across 29 notices in 2025 against CAD $19.0M across 16 notices in 2024, and a single penalty of $176,960,190 was the largest in Canadian history (FINTRAC; DLA Piper). It ran 294 formal examinations in 2024 (annual report). Bill C-12 set maxima of $4,000,000 per person and $20,000,000 per entity per prescribed violation, with a cumulative cap at the greater of that or 3 per cent of gross global revenue (McCarthy Tetrault). The Bank of Canada began publishing notices of violation in June 2026, and its first enforcement action under the payments act was a safeguarding failure (Bank of Canada; compliance order to XTM Inc.).

> RESPONSE FOR 4ORM
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> The boundary is the defence and it is already written down. 4orm Finance holds no end user funds, signs no filing on a customer's behalf and decides nothing for the customer. The duty stays with the firm holding the money and so does the signature, which puts real distance between this company and the ceilings above. What changes after a headline year is procurement rather than law: a buyer whose own exposure is $10M under the payments regulations and $20M under the money laundering framework asks a different set of questions of any vendor touching the evidence. **Put the liability cap and the errors and omissions wording into the design partner template in 2026, before the first paying customer signs in Q1 2027.** A procurement request arriving during that negotiation delays the milestone the fourth tranche releases against, and the road has no room in it.

5 The stablecoin count is a judgement and the tier priced on it is the dearest

SCORE 2 · L2 × I1

CASE STUDY · ONETRUST, THE NEGATIVE CONTROL THE PLAN KEEPS ON PURPOSE

OneTrust is the case for never dividing by an estimate. Against an estimated 500,000 organisations with registered data protection officers across Europe, it reported more than 2,000 customers and more than 400 per cent customer base growth in 2018, which implies about 0.4 per cent of that denominator (IAPP; OneTrust). Five years in, more than 10,000 customers still implied about 1.2 per cent (PR Newswire). The company had been first on the Inc. 500 and later cut about 950 people, around a quarter of its staff (CRN; Wired). The share was arithmetic against an estimated total, not a verdict on execution.

> RESPONSE FOR 4ORM
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> Twenty Canadian dollar stablecoin issuers is a management estimate against no published list, and the register says so in the row itself. It sits inside a command and institution tier of 65 entities with none of its three rows primary sourced, priced at $687,000, carrying $3,800,355 of 2031 revenue and $44,655,000 of the recurring market. That is the thinnest evidence in the ladder attached to the highest price in it. **The amended money laundering framework provides for a public register of Canadian dollar stablecoin issuers, and the day it publishes, the twenty is replaced by a count and the tier is repriced from the count.** Until then the tier is quoted as an estimate, the way the register marks it, and the share of that tier is never published against the estimate. The plan already refuses to blend: capture is stated group by group, and the blended 4.7 per cent across the whole register exists so the arithmetic ties and is never the headline.

SOURCES ON THIS PAGE

Penalty ceilings	CAD $1,000,000 serious and $10,000,000 very serious under the payments regulations (Bank of Canada). $4,000,000 per person and $20,000,000 per entity, capped at the greater of that or 3 per cent of gross global revenue (PCMLTFA; McCarthy Tetrault).	PRIMARY / SECONDARY
Enforcement record	FINTRAC 2025 penalty notices · 294 examinations in 2024 · DLA Piper on the largest penalty · notices of violation begin · order to XTM Inc.	PRIMARY / SECONDARY

6 Undated duties creep back into the plan as revenue

SCORE 2 · L1 × I2

CASE STUDY · A SUSTAINABILITY REPORTING VENDOR, AND A POPULATION CUT BY NINETY PER CENT

A company built against a future rule closed when the rule shrank. The European sustainability reporting scope was cut from more than 50,000 expected in scope companies to between 5,000 and 6,000, and the non European scope fell from 10,000 to 1,200 (Verdantix). One vendor built against the original scope shut down all operations, citing the change (Silicon Canals). Nothing about the execution had changed. The denominator had.

> RESPONSE FOR 4ORM
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> The plan already refuses this in two places, and both refusals should stay visible rather than being tidied away. Universal enrolment with the financial intelligence unit comes into force in line with regulations still to be developed and published in the Canada Gazette, Part II, so no revenue, hiring or market figure depends on it (FINTRAC). Consumer driven banking is held out of the register in full: 578 entities, no price, no customer count, no line in the market total, because the rules were published in draft in June 2026 and no register of approved firms exists. **That discipline costs the headline market 578 entities and it is the reason the 745 is worth believing.** The control is a standing rule rather than a monitoring task: a population with no register of approved firms carries no price. When a register appears, the population enters the model with a count, a class and a date, and the change is stated on the page rather than absorbed into a total.

Three of the six turn on the same sentence, which is that a duty has to be expressible as writing.

Scenario 2 is that sentence failing inside the payments regime. Scenario 3 is it failing across provincial trust rules. Scenario 6 is it being asserted for a duty that does not exist yet. The rule store is the control for all three, and the test is the same in each case: hand the fourteenth duty to the person who owns the rules, with no engineer in the room, and watch whether it goes live without a builder, a ticket or a code review.

SOURCES ON THIS PAGE

The command tier	Twenty stablecoin issuers, class management estimate, no official list. 65 entities in the tier, 0 of 3 rows primary sourced, $687,000, $3,800,355 in 2031, $44,655,000 of the recurring market. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full.	MODEL
The coming register	The amended framework places Canadian dollar stablecoin issuers on a public register. FINTRAC	PRIMARY
OneTrust	IAPP, an estimated 500,000 organisations · 2,000 customers · 10,000 customers · CRN on the reduction	SECONDARY

SOURCES ON THIS PAGE

Undated enrolment	Universal enrolment comes into force in line with regulations still to be developed and published. FINTRAC	PRIMARY
Held out populations	Consumer driven banking, 578 entities at zero revenue. Payment providers in review, 459, held outside the denominator. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, population register tab, section 3.	MODEL
Scope collapse	Verdantix on the reporting scope cut · Silicon Canals on the shutdown	SECONDARY

What to watch, and how often

Each line names an observable thing rather than a worry. The scenario it belongs to is in the table on page 2.

Monitoring cadence

- **Every rule change published by the Bank of Canada.** Confirm it ships as a release from the rule store, written and signed by the person who owns the rules, with no engineering ticket anywhere in the path. Report the answer at every board update from 2027, because a single yes unravels the platform claim.
- **Section 17, every quarter.** Watch for any Bank of Canada page or guidance that names a first review date or a period a review must cover. Until one exists, no document asserts either, and 8 September 2028 appears only as arithmetic.
- **Before any second rule maker is committed.** Require the line item accounting of what the build touches across all four rule sets. A new field, a new workflow state or a new binding rule is the signal, and it forces a decision before Q3 2028.
- **Procurement reviews, from the first design partner onward.** Log every request for errors and omissions cover or a liability cap. The template answer exists before the Q1 2027 negotiation or the milestone slips inside it.
- **The stablecoin register.** Watch for publication. On the day it appears, replace the estimate of twenty with the count and reprice the command tier from it.
- **Any population entering the model.** No register of approved firms, no price. Consumer driven banking and payment providers in review stay at zero until that changes, and the change is stated rather than absorbed.

One sentence carries this domain, and it is not the one the old bundle carried.

The pressure in this market comes from a duty that repeats every single day and a return that is due every 31 March, both of them already in force. It does not come from a review date, because the regulation names none. A plan that leans on the date is leaning on arithmetic. A plan that leans on the daily ledger is leaning on something a reader can open and check before the first call ends.

SOURCES ON THIS PAGE

Sections 15 and 18	The daily ledger in force since 8 September 2025, and the annual report due 31 March. Justice Laws Canada · Bank of Canada annual reporting	PRIMARY
Safeguarding guideline	End user ledger, reconciliation, reliance boundaries and the evidence a reviewer must be able to open and trace. Bank of Canada	PRIMARY
The register	1,562 registered payment service providers, 745 holding end user funds, 459 in review. Bank of Canada registry feed · public registry	PRIMARY
Every figure on this document	4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full. 4orm Finance Master Source Register, 16 August 2026.	MODEL